

HUM24-2

Law Fundamentals & GDPR

Legal systems, contract, labor and IP law, GDPR, and EU digital
regulation

Law as institutional architecture: designed, value-laden, and always incomplete.

Albert School — 12 hours

Preface

Law is treated here not as a collection of rules but as institutional architecture — designed by humans with specific goals, shaped by political and philosophical choices, and always incomplete. Each legal concept is introduced through a concrete business scenario rather than doctrinal history. The course lays the regulatory foundation that Digital Threats & Cybersecurity (S3) and Public Policy & Institutional Analysis (S6) build on, and establishes GDPR as the keystone case study of regulation as values-encoding institutional design.

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1 Legal systems as institutional architecture

A legal system is a designed architecture, and the two dominant families embody different design choices with direct business consequences.

- **Civil law** systems organise the law around comprehensive written codes. The primary source is the enacted code; judicial decisions apply it but do not in principle make binding law for future cases.
- **Common law** systems develop the law incrementally through judicial decisions. Precedent (*stare decisis*) binds later courts, and statute sits alongside a large body of case law.

The choice between them is not neutral: it changes where legal certainty comes from (an exhaustive code versus a line of precedents), how contracts are interpreted, and how a dispute is argued.

1.1 A cross-border contract dispute

Consider two firms in different jurisdictions — one civil law, one common law — disputing a contract. The same facts are analysed differently depending on the governing system: a civil law court reasons from the code's general principles, while a common law court reasons from

prior decided cases. Which system governs (through the contract's choice-of-law clause) therefore shapes the likely outcome, which is why parties negotiate governing law and jurisdiction explicitly.

2 Contract law fundamentals

A contract is a legally enforceable agreement. Its life has distinct stages.

2.1 Formation

A contract is formed when the following elements are present:

- **Offer:** a definite proposal to be bound on stated terms.
- **Acceptance:** unqualified agreement to those terms.
- **Consideration / cause:** in common law, *consideration* — something of value exchanged by each side; in civil law, the equivalent role is played by the *cause* of the obligation. This is what distinguishes a binding contract from a bare promise.

2.2 Validity, performance, breach, remedies

A formed contract must also be **valid**: the parties must have capacity and consent must be genuine (not vitiated by fraud, error, or duress), and the object must be lawful. **Performance** is each party carrying out its obligations. **Breach** is a failure to perform an obligation. **Remedies** are what the law gives the injured party — principally damages (monetary compensation), and in some cases specific performance (an order to perform) or termination of the contract.

2.3 Contract types in first roles

The contract types a business professional encounters early include:

- **Service contracts** — provision of a service for a fee.
- **Sale contracts** — transfer of goods for a price.
- **Employment contracts** — work under the direction of an employer (see Chapter 3).
- **NDAs** (non-disclosure agreements) — obligations to keep specified information confidential.
- **SaaS terms** — the terms of service governing use of a software product.

3 Labor law essentials

Labor law exists as an institutional response to the **power asymmetry** between employer and worker: left to ordinary contract, the stronger party would set the terms, so labor law imposes protections that the parties cannot freely contract away.

3.1 Employment versus contractor status

The central distinction is between an **employee** and an independent **contractor**. The classification does not follow the label the parties use but legal criteria — notably the degree of **subordination** and control the firm exercises over how the work is done, integration into the organisation, and economic dependence. The classification matters because employee status triggers protections and employer obligations that contractor status does not.

3.2 Employee protections and employer obligations

The main protections that constrain hiring and management decisions include:

- **Termination rules:** an employer cannot generally dismiss at will; dismissal must meet substantive and procedural requirements, and a dismissal that fails them is **wrongful**.
- **Working time:** limits on hours and entitlements to rest and leave.

- **Non-compete clauses:** restrictions on a departing employee’s future work are **enforceable only within limits** (reasonable scope, duration, geography, and often compensation); beyond those limits they are void.

Employers carry corresponding obligations (e.g. lawful contracts, social contributions, a safe workplace).

3.3 A misclassification / wrongful-dismissal case

Consider a firm that engages a worker as an independent contractor but directs the work like an employee, then ends the relationship abruptly. If a court applies the criteria above and finds the worker was in substance an **employee**, the firm faces liability for the protections it bypassed — including the consequences of a **wrongful dismissal**. The lesson is that the legal status follows the reality of the relationship, not its label.

4 Intellectual property for technology companies

Intellectual property (IP) law grants limited exclusive rights over intangible creations. Four regimes matter to a technology company:

- **Patents:** protect inventions (a novel, non-obvious technical solution) for a limited term, in exchange for disclosure.
- **Trademarks:** protect signs that identify the commercial origin of goods or services.
- **Copyright:** protects original works of authorship — including **software source code** — automatically, without registration.
- **Trade secrets:** protect valuable confidential information for as long as it is kept secret and reasonable protection measures are taken.

4.1 The most frequent risks and their consequences

For a technology company the highest-frequency exposures are:

- **Open-source licence compliance:** software is distributed under licences with conditions; using open-source code while violating its licence (for example, failing to meet the obligations of a *copyleft* licence) is copyright infringement.
- **Patent exposure:** the risk of infringing another party’s patent — including assertions by a **patent troll**, an entity that holds patents to extract settlements rather than to produce.
- **Trade secret protection:** the risk of **trade secret theft**, or of losing protection by failing to take reasonable measures to keep the information secret.

Getting each wrong has direct business consequences: injunctions stopping a product, damages, forced disclosure or re-engineering, and loss of the information’s value.

5 GDPR as institutional design

The General Data Protection Regulation (GDPR) is the EU’s regulation governing the processing of personal data. It exists as an **institutional design choice** that encodes European commitments to **privacy and dignity**: it treats control over one’s personal data as something a person retains, and builds that commitment into enforceable obligations on those who process the data.

5.1 Core architecture

- **Lawful basis:** processing personal data is lawful only if it rests on one of the bases the GDPR enumerates — principally **consent**, performance of a **contract**, a **legal obligation**, **vital interests**, a **public task**, or the controller’s **legitimate interests**. A controller must identify the correct basis before processing.

- **Data subject rights:** individuals hold rights over their data, including access, rectification, erasure, restriction, portability, and objection.
- **Data minimisation:** only data that is adequate, relevant, and limited to what is necessary for the stated purpose may be collected and processed.
- **Accountability:** the controller must not only comply but be able to **demonstrate** compliance.

6 GDPR in practice

For a specific digital product, GDPR compliance requires concrete product-level changes across the data lifecycle:

- **Collection:** collect only the data necessary for a defined purpose, with a valid lawful basis identified for each purpose.
- **Storage:** keep data only as long as necessary, secured appropriately.
- **Processing:** process only for the purposes for which the basis was established.
- **Consent architecture:** where consent is the basis, it must be freely given, specific, informed, and as easy to withdraw as to give — which dictates how consent is requested and recorded in the product.

The firm must also implement the **data subject rights** (e.g. mechanisms to access or erase data on request).

6.1 Enforcement and business consequences

GDPR is enforced by supervisory authorities with the power to investigate and to impose **administrative fines** scaled to turnover, alongside orders to change or stop processing. Non-compliance therefore carries financial and operational consequences, not merely reputational ones.

7 EU digital regulation overview

Beyond GDPR, three further EU regulations each address a specific business problem and encode a specific value choice into an enforceable rule. They are previewed here for HUM34-3 and HUM64-2.

- **AI Act:** regulates AI systems by **risk tier** (from prohibited uses, through high-risk systems subject to strict requirements, to limited- and minimal-risk systems). It imposes obligations on **deployers** of high-risk systems. The problem it addresses is the risk that AI systems cause harm at scale; the value it encodes is that higher-risk uses must carry proportionate safeguards.
- **DSA** (Digital Services Act): governs **platform liability** and **content moderation**, imposing obligations on online platforms regarding illegal content and transparency. The problem it addresses is harmful and illegal content online; the value it encodes is platform accountability for the systems they run.
- **DMA** (Digital Markets Act): imposes **gatekeeper obligations** on the largest platforms to keep digital markets contestable and fair. The problem it addresses is entrenched market power; the value it encodes is open competition.

7.1 A contested AI deployment

Applied to a contested AI deployment — algorithmic hiring, credit scoring, or automated content moderation — several regimes apply at once:

- the correct **GDPR lawful basis** for the personal-data processing must be identified;

- the **AI Act risk tier** and the corresponding **deployer obligations** must be determined;
- **Article 22 GDPR** constrains decisions based **solely on automated processing** that produce legal or similarly significant effects, granting the data subject protections against being subject to such a decision.

8 Legal risk mapping

Legal risk mapping integrates contract, labor, data, and IP law to assess a named business activity (for example, launching a data-driven product, or hiring across two jurisdictions). The procedure is:

1. **Identify the applicable regulations** across all four areas — contract, labor, data, and IP law.
2. **Assess the highest-probability legal risks** for the activity.
3. **Propose proportionate mitigations** — measures matched to the size and likelihood of each risk.
4. **Justify the analysis** using structured legal reasoning.

9 Legal reasoning as structured analysis

Legal reasoning is a structured analysis applied to a real case and reactivated across every block. It proceeds in three steps:

1. **Identify the legal question** — what exactly is in dispute.
2. **Locate the applicable norm** — the rule (code provision, precedent, or regulation) that governs it.
3. **Evaluate the likely outcome** — apply the norm to the facts and reason to the probable result.

This sequence — **legal question** → **applicable norm** → **likely outcome** — is the structure used to justify every risk assessment and case analysis in the course.